In those days, there were very few hotshot managers Buffett could compare himself to. Gerald Tsai and Fred Carr, the two best-known mutual fund managers, burst on the scene in the mid-1960s near the time Buffett was thinking about shutting down the partnership. They built and then destroyed their reputations buying the 1960s “Go-Go” stocks. In one of Carol Loomis’s earliest articles for *Fortune* magazine, titled “The Jones Nobody Keeps Up With” (April 1966), she compared Buffett’s partnership performance to the famous hedge fund manager Alfred Winslow Jones. At the time, A.W. Jones & Company had a 10-year record but Buffett had only nine years managing money. Carol examined the trailing five-year returns for both investors and found that Buffett eked out the win, besting Jones 334 percent to 325 percent. But as Carol pointed out, Buffett soon shut down his partnership whereas Jones stayed in the game, suffering along with everyone else who could not see that stocks had become grossly overvalued.

Putting aside the incredible track record of the Buffett Investment Partnership, the claim that Buffett is the world’s greatest investor could easily hang on what he has accomplished at Berkshire Hathaway, as Table 8.1 makes clear. Over 48 years, between 1965 and 2012, the book value of Berkshire Hathaway has grown from $19 per share to a staggering $114,214 per share, a 19.7 percent annual rate of return. By comparison, the S&P 500 index, with dividends included, grew at 9.4 percent. In those 48 years, the S&P 500 index lost money 11 years—nearly one in five years; Berkshire posted just two negative years.

Table 8.1 Berkshire’s Corporate Performance versus the S&P 500